

It may have taken a lot of hard work to accumulate that \$10,000 lump sum you initially deposited. However, the hard work doesn't end after you make your deposit. As the chart shows, \$10,000 that earns 12 percent interest will add up to \$96,463 after twenty years. You have done nothing but make the initial deposit; your money itself does the rest of the work.

When Tatum turned twenty-one, her father gave her an unexpected birthday gift, a savings account. He had been contributing a portion of his salary to this account since Tatum was born. In fact he had been depositing \$1,000 per year for twenty years. Averaging 6 percent interest, Tatum's account was now worth almost \$37,000. This gift was Tatum's savior from her debt burden. After paying off what she owed, she promised herself she would follow her father's example. Winston Churchill once said, "Saving is a very fine thing. Especially if your parents have done it for you."

Americans have saved (percentage wise) in the low single digits for the last decade while other Western industrialized countries have savings rates in the double digits. For the 2006 year, the average personal savings rate in our country was a dismal negative 1 percent according to the Department of Commerce (experts recommend 10 percent). This means that Americans have started to spend more than they save, adding to their ever-increasing debt level. Unless this trend is reversed, adequate savings cushions will never be realized.

Every Little Bit Adds Up

Many young adults do not bother to save because they feel the small amount they would be able to set aside is too little to make any meaningful difference. The reality is that even saving a couple of dollars a day can make a difference and add up to a substantial amount by retirement. Remember the example shared with Curtis at the beginning of this chapter—if a

